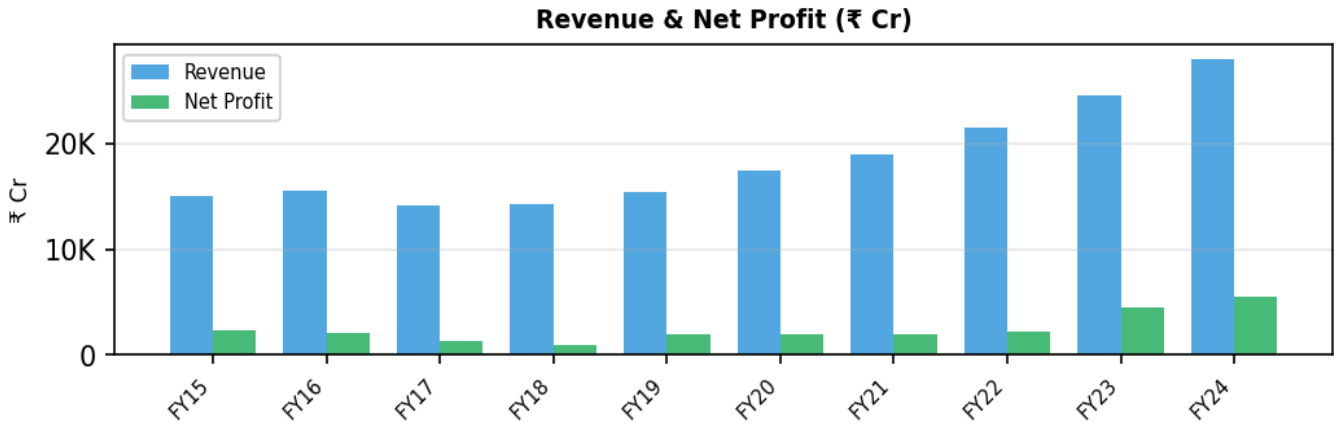
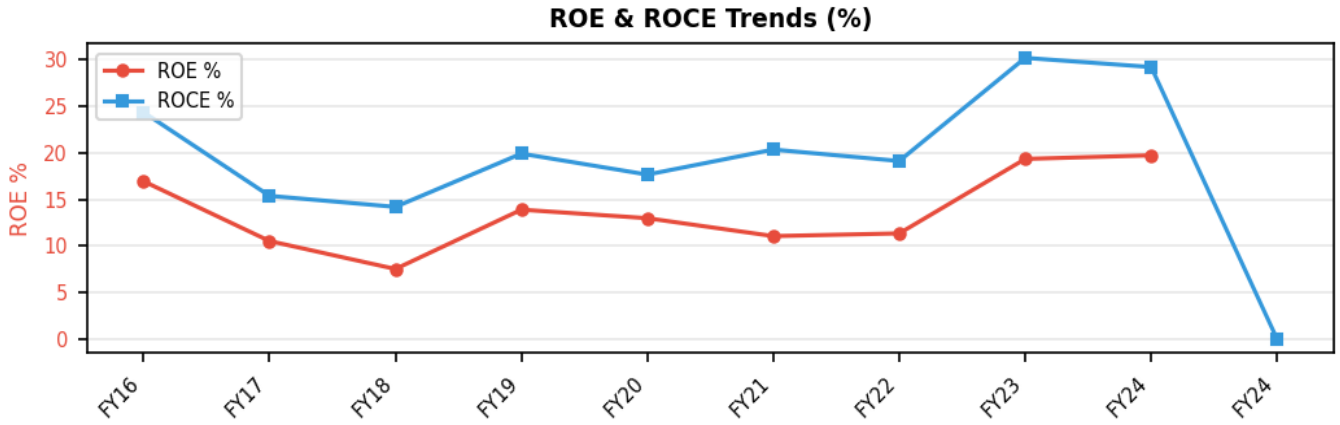
Dr Reddys Laboratories Ltd

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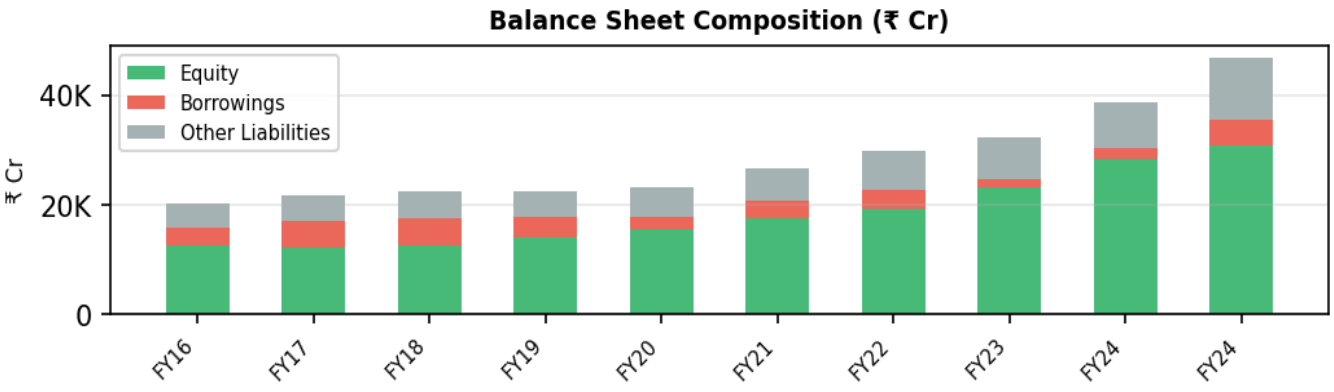
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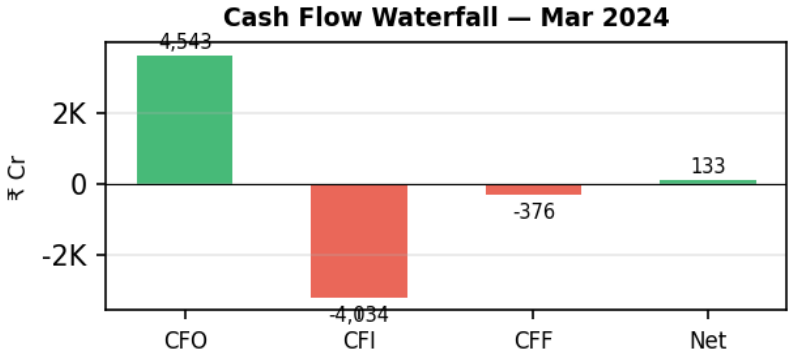
N/A ROE %	**0.0%** ROCE %	**N/A** Net Profit Margin
0.16 D/E Ratio	**12.6%** Rev CAGR 5yr	**N/A** FCF





Dr Reddys Laboratories Ltd — Detailed Analysis





Strengths

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality

Risks

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern

Shareholder Returns